

7.3.4.5 China's claim under Article X:3(a) of the GATT 1994

7.527. China claims that Türkiye has acted inconsistently with Article X:3(a) of the GATT 1994 because it has not administered the IPLS in a uniform, impartial and reasonable manner.⁶⁵¹

7.528. As adjudicators have pointed out in prior cases, the obligations in Article X of the GATT 1994 govern the publication and administration of measures, rather than the substantive content of measures.⁶⁵² Where the substantive content of a measure has been found to be inconsistent with obligations in the GATT 1994, additional findings relating to the administration of that measure will in principle be superfluous and findings under Article X are unlikely to be necessary or useful in resolving the matter.⁶⁵³

7.529. Having found that the IPLS is inconsistent with Article III:4, we do not believe that an additional finding whether the manner in which Türkiye has administered the IPLS is inconsistent with Article X:3(a) would be necessary to resolve the dispute before us.

7.530. Accordingly, we do not consider it necessary to make findings under Article X:3(a) of the GATT 1994 in addition to our findings under Article III:4. We therefore exercise judicial economy over China's claim under Article X:3(a).

8 CONCLUSIONS AND RECOMMENDATION(S)

8.1. For the reasons set forth in this Report, the Panel concludes as follows:

- a. With regard to the additional duties in their current amended version enacted through Presidential Decision No. 10436 of 22 September 2025:
 - i. China has not made a *prima facie* case that the additional duties on internal combustion engine vehicles are inconsistent with Article II:1(b) of the GATT 1994;
 - ii. the additional duties on electric vehicles and on those hybrid vehicles that would have been classified under the 34 tariff lines listed in Table 3 in paragraph 7.73 above, prior to the introduction of HS 2017, are inconsistent with Article II:1(b) of the GATT 1994, because they exceed tariff bindings in Türkiye's schedule;
 - iii. the additional duties on electric vehicles and on those hybrid vehicles that would have been classified under the 34 tariff lines listed in Table 3 in paragraph 7.73 above, prior to the introduction of HS 2017, are inconsistent with Article II:1(a) of the GATT 1994, because they accord less favourable treatment than that provided for in Türkiye's schedule;
 - iv. the additional duties on those hybrid vehicles that would not have been classified under the 34 tariff lines listed in Table 3 in paragraph 7.73 above, prior to the introduction of HS 2017, are not inconsistent with Articles II:1(b) and II:1(a) of the GATT 1994;
 - v. the inconsistency with Articles II:1(b) and II:1(a) of the GATT 1994 is not justified under Article XX(b), because Türkiye has not demonstrated the existence of a risk to human, animal or plant life or health;
 - vi. the inconsistency with Articles II:1(b) and II:1(a) of the GATT 1994 is not justified under Article XX(g), because Türkiye has not demonstrated that the additional duties relate to the conservation of natural resources;
 - vii. the additional duties are inconsistent with Article I:1 of the GATT 1994 because by exempting EVs and other vehicles from Türkiye's RTA partners from these duties,

⁶⁵¹ China's first written submission, paras. 230-251; second written submission, paras. 219-245.

⁶⁵² Appellate Body Report, *EC – Poultry*, para. 115.

⁶⁵³ Panel Reports, *Argentina – Import Measures*, para. 6.305; *Turkey – Pharmaceutical Products (EU)*, para. 7.251; *Russia – Traffic in Transit*, paras. 7.200-7.201; *Peru – Agricultural Products*, para. 7.501; and *Russia – Railway Equipment*, para. 7.939.

Türkiye fails to accord to products from China an advantage accorded to the like product originating from Türkiye's RTA partners;

- viii. the inconsistency with Article I:1 of the GATT 1994 is justified under Article XXIV with respect to the exemption from the additional duties of vehicles from Türkiye's RTA partners listed in Presidential Decision No. 10436 except for vehicles from Venezuela; and
- ix. the inconsistency with Article I:1 of the GATT 1994 with respect to the exemption from the additional duties of vehicles from Venezuela is not justified under Article XXIV, under the Enabling Clause, or under Articles XX(b) and (g).

b. With regard to the IPLS:

- i. the IPLS is inconsistent with Article III:4 of the GATT 1994 because it accords less favourable treatment to EVs and ERHVs from China than the treatment accorded to the like products from Türkiye with respect to the Service Stations, Certificate of Competence, Call Centre, Authorized Representative, and Battery Commitment Requirements, and with respect to the mechanism to enforce these requirements;
- ii. the inconsistency with Article III:4 of the GATT 1994 is not justified under Article XX(d) because Türkiye has not demonstrated that each of the IPLS requirements and the IPLS enforcement mechanism are taken "to secure compliance with" the Law on Consumer Protection and the Type Approval Regulation;
- iii. we exercise judicial economy over China's claims that the IPLS is inconsistent with Articles I:1, X:3(a), and XI:1 of the GATT 1994, and with Article 2.1 of the TRIMs Agreement.

8.2. Under Article 3.8 of the DSU, in cases where there is an infringement of the obligations assumed under a covered agreement, the action is considered *prima facie* to constitute a case of nullification or impairment. We conclude that, to the extent that the measures at issue are inconsistent with the GATT 1994, they have nullified or impaired benefits accruing to China under that agreement.

8.3. Pursuant to Article 19.1 of the DSU, we recommend that Türkiye bring its measures into conformity with its obligations under the GATT 1994.
